EXECUTIVE SUMMARY

1. Introduction

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission to attain peace, unity and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

The audit covered the accounts and operations of the Municipality of Ballesteros for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020, were P322,584,788.20, 82,489,890.90 and 240,094,897.30, with an increase of 9.16%, 5.09% and 10.63%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to 132,801,795.74 and 116,325,175.88, which increased by 11.24% and 28.93% respectively from last year's figures.

Particulars	2020	2019	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	322,584,788.20	295,514,118.83	27,070,669.37	9.16%
Liabilities	82,489,890.90	78,491,316.42	3,998,574.48	5.09%
Govt. Equity	240,094,897.30	217,022,802.41	23,072,094.89	10.63%
Financial Performance				
Income	132,801,795.74	119,387,869.54	13,413,926.20	11.24%
Expense	116,325,175.88	100,580,803.46	15,744,372.42	15.65%
Appropriations, Allotments and Obligation				
Appropriations	154,463,868.00	127,668,541.00	26,795,327.00	20.99%
Allotments	154,463,868.00	127,668,541.00	26,795,327.00	20.99%
Obligations	121,591,676.97	92,932,266.06	28,659,410.91	30.84%

3. Independent Auditor's Opinion on the Financial Statements

We rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Ballesteros, Cagayan as at December 31, 2020.

4. Summary of Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. **The accuracy, validity and existence of Property, Plant and Equipment (PPE) with a net carrying amount of P136,175,055.57 as at December 31, 2020, representing 42.21% of total assets which increased from last year's ending balance by P13,786,128.33 (10.12%), could not be ascertained due to failure of the agency to conduct an annual physical inventory of the properties which is contrary with the existing rules and regulations prescribed under Section 156 of COA Circular No. 92-386 and Section 266 of the Government Accounting Manual (GAM) for Local Government Units.**

   We recommended that the Inventory Committee conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to COA Circular No. 92-386 dated October 20, 1992, Section 266 of the GAM for LGUs and Section 122 of P. D. 1445.

2. **The balance of the Road Networks amounting to P88,127,638.05, which represents 67% of total Property, Plant and Equipment as of December 31, 2020, could not be relied upon due to improper accounting and reporting on local road asset management contrary to COA Circular No. 2015-008, thus impairing the accuracy and validity of the LGU's road networks account.**

   To fairly present the book value of the Road Networks account in the Financial Statements of the Municipality, we recommended that the Municipal Mayor direct the:

   1. GSO and the Municipal Engineer to conduct the physical inventory on the Local Road Network to come up with the Inventory Report on the Local Road Network.

   2. GSO and the Municipal Engineer to evaluate the Local Road Inventory Report and reconcile with the accounting records to facilitate the reporting of the municipality's road network system;

3. Municipal Accountant to adjust the books of the discrepancies noted;

4. Municipal Engineer to provide the Municipal Accountant and the GSO-Designate with the complete description and cost segregation of the road components for road project.

5. The Municipal Assessor for the costing of the land where the local road networks were erected.

3. Purchased drugs and medicines, and medical/dental/laboratory supplies costing P2,200,256.00 were taken up as outright expenses instead of inventories which were not in conformity with existing rules and regulations, hence, the affected accounts were not presented fairly in the books of accounts of the LGU.

We recommended that the Municipal Accountant take up the drugs and medicines, and medical/dental/laboratory supplies for distribution as inventories upon purchase/receipt thereof and the corresponding expense accounts only upon distribution to fairly present the inventory accounts in the books of the LGU for the benefit of all users of the information. Congruently, she should prepare and submit journal entry vouchers (JEVs) taking up the issuance thereof as periodic adjustments of the inventory account, if any.

4. The Management of LGU Ballesteros failed to effectively utilize its 70% portion of the LDRRMF (Preparedness and Mitigation Fund) during the year with its low utilization rate of only 13.36%, thereby expose the LGU to probable risk of the effects of insufficient disaster preparedness.

We recommended that Management review and further enhance its disaster preparedness and strengthen its disaster response capabilities by fully implementing its annual LDRRMF Plan and Budget pursuant to Section 21 of RA 10121.

2. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68				116,827.68
Current Year	-				-
Total	**116,827.68**				**116,827.68**
Disallowances					6.44%
Prior Years	536,460.27			34,562.50	501,897.77

Current Year	-				-
Total	**536,460.27**			**34,562.50**	**501,897.77**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	**-**	**-**	-	**-**

3. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations embodied in the previous Annual Audit Report, four (4) were fully implemented, five (5) were partially implemented and the remaining two (2) were not implemented.